

Indian Two-Wheeler OEMs in Europe: Can They Win?

— Institutional Research Note

Coverage: Hero MotoCorp (HMCL IN), Bajaj Auto (BJAUT IN), TVS Motor (TVSL IN), Eicher Motors/Royal Enfield (EIM IN). Cross-reads: Pierer/Bajaj Mobility, Piaggio (PIA IM), Triumph.
Date: 22 July 2026. Actuals vs. estimates flagged throughout.

TL;DR

- **Yes, but selectively — and mostly through acquisition and mid-size niches, not organic mass-market volume.** The credible path to “meaningful and profitable” runs through Royal Enfield’s owned mid-size franchise and Bajaj’s control of KTM (74.9%, closed 18 Nov 2025) but inherits a distressed, loss-making, high-cost asset; TVS is making a heritage bet via Norton; Hero is earliest-stage and capital-light, using distributor partners and sub-€3,500 adventure bikes.
- **Royal Enfield is the only Indian OEM with a proven, defensible, profitable European proposition today;** Bajaj has bought its way to European scale via KTM (74.9%, closed 18 Nov 2025) but inherits a distressed, loss-making, high-cost asset; TVS is making a heritage bet via Norton; Hero is earliest-stage and capital-light, using distributor partners and sub-€3,500 adventure bikes.
- **The India–EU FTA (concluded 27 Jan 2026) is a structural tailwind but a slow one** — the European Commission confirms “the EU will liberalise 99.5% of its tariff lines on goods imported from India over seven years,” phasing out the EU’s 6–8% MFN motorcycle duty on Indian-made bikes and improving landed-cost economics ~6–8%. This matters at the margin but does not solve the brand/dealer/residual-value problem that actually determines success.

Key Findings

1. **Market is large, mature and cyclical, not a growth frontier.** The five biggest markets registered 1,155,640 motorcycles in 2024, “an increase of approximately 10,1% compared to 2023 (1,049,898 units)” (ACEM, 6 Feb 2025), but much of that was a pull-forward ahead of Euro5+ (effective 1 Jan 2025). The correction arrived: 9M 2025 registrations fell 7.2% to 823,786, with Germany –24.4% and France –12.4%; only Spain

grew (+11.1%). [China Motor World](#) ACEM Secretary-General Antonio Perlot termed the decline “the anticipated market correction following the Euro 5+ transition.” Total European two-wheeler market value was ~USD 21.9bn in 2024, projected to ~USD 30.8bn by 2034 (~4.1% CAGR — an estimate). [Global Market Insights](#) This is a share-shift game, not a rising-tide market.

2. **The competitive set is brutal and consolidating at the top while fragmenting at the bottom.** Per [Global Market Insights](#), the “Top 5 players... BMW Motorrad, Piaggio Group, Honda Motor Co., Yamaha Motor, KTM AG... collectively held a market share of 21% in 2024,” with Piaggio leading at “over 5% market share.” Meanwhile Chinese brands are the real disruptor: in France (Jan–Sep 2025) CFMoto registered 4,741 units (3.38%), 6th overall — “ahead of Ducati with 3,175 units (2.26 percent), KTM with 2,977 (2.12 percent), and even Suzuki with 3,936 (2.81 percent)” (Moto-Station via RideApart); Honda led with 31,677 (22.58%). VOGÉ’s “combined registration share in Europe’s five largest markets was nearly 4.5%... In Spain, it held a 7% market share and ranked fourth” (Xinhua/ichongqing, 13 July 2026). Chinese complete-motorcycle exports rose 38.72% YoY to about USD 1.676bn in 2025. The Indians are entering a market the Chinese are already winning.
3. **Royal Enfield is the template and the outlier.** FY26 (to March 2026): 1,238,659 total units (+23%), international 131,316 (+23%), international revenue ~₹3,288 crore. Consolidated margins are exceptional (Eicher Q2 FY26 EBITDA margin 24.5%; Q3 FY26 operating margin a record 25.95%). [Markets Mojo](#) But Europe specifically is small and softening — France fell to ~3,143 registrations in CY2025 from 4,427 in 2024 (partly a Euro5+ distortion). RE is #2 in the UK but “still a niche player” in Europe overall.
4. **Bajaj took the acquisition shortcut and now owns Europe’s largest motorcycle maker by volume — and its biggest problem.** Bajaj completed control of KTM/Pierer Mobility (74.9%) on 18 Nov 2025 [Motorcycle News](#) for ~€800m of injected capital, [RevZilla](#) renaming the parent Bajaj Mobility AG. KTM is distressed: combined KTM/Husqvarna/GASGAS/MV Agusta sales were 382,555 in 2024 but only ~120,000 expected in 2025, [GPOne](#) with headcount cut hard. MD Rajiv Bajaj’s verdict, in a CNBC-TV18 interview (via Visordown, Sept 2025): “To put it very simply and bluntly, European manufacturing is dead. Every single Triumph motorcycle that is made today is made either in Thailand [or], more recently, India” — adding that India-made/exported models deliver an EBITDA margin of “over 30 per cent.” This signals a Triumph-style shift of production to India.
5. **Hero is earliest and most capital-light; TVS is betting on Norton heritage.** Hero entered its 5th European market (Germany, via KSR Group) in July 2026 with sub-€3,500 bikes (XPulse 200 4V at €2,990; [Whalesbook](#) Hunk 440 — the rebadged Mavrick 440 — at €3,990 in Italy). TVS is reviving Norton with a £200m investment,

targeting 20,000 units/year and 200 retail points, plus its own Apache RTX 300 and iQube EV.

Details

1. European two-wheeler market structure

Size and value. Europe's five largest motorcycle markets (Italy, Germany, Spain, France, UK) registered 1,155,640 units in 2024, up 10.1% from 1,049,898 in 2023 (ACEM). Country splits (2024): Italy 352,294 (+10%), Germany 248,618 (+16.3%), Spain 229,685 (+14.2%), France 214,049 (+3.5%), UK 110,994 (+2.7%). Mopeds are in structural decline: 180,591 units across six markets in 2024 (–6.5%), as riders shift up to light motorcycles. There are more than 39 million powered two-wheelers on Europe's roads. Market value was ~USD 21.9bn in 2024 (Global Market Insights estimate), forecast to ~USD 30.8bn by 2034.

Global Market Insights

The Euro5+ air pocket. ACEM attributed much of 2024's growth to pre-buying ahead of Euro5+ (effective 1 Jan 2025) and explicitly warned of a 2025 correction. That correction materialised: 9M 2025 fell 7.2% to 823,786, Germany –24.4%, France –12.4%, UK –4%, Italy –1.1%; only Spain rose (+11.1%). Investors should treat 2024 as a cyclical peak, not a run-rate.

Segment and country behaviour. Southern Europe (Italy, Spain, Greece) is scooter/commuter-led; Germany and the UK are leisure/big-bike cultures dominated by adventure-touring (the BMW R1250/1300GS archetype) and naked bikes. The A1 (up to 125cc/11kW) and A2 (up to 35kW) licence tiers are the structural key: they concentrate huge demand in 125cc and in the 300–500cc A2-compliant band — precisely where Indian OEMs' cost advantage and existing product (RE 350/450, Hunk 440, Apache 310, Triumph 400) is strongest. Rider demographics are ageing in the premium big-bike segment, while younger/urban riders and A2 entrants are the growth pockets — and the most price-sensitive.

Electrification. Still nascent and concentrated in urban scooters (NIU, Piaggio, Zero, Energica/Ducati). Electric two-wheelers are a genuine leapfrog entry vector because they reset the brand hierarchy — but volumes are small and EV scooters carry a price premium over ICE, limiting the near-term P&L.

2. Competitive landscape

Incumbent tiers. Premium/heritage: BMW Motorrad, Ducati, Triumph, KTM/Husqvarna, Harley-Davidson, Moto Guzzi/Aprilia. Volume Japanese: Honda (market leader), Yamaha, Suzuki, Kawasaki. Scooters: Piaggio/Vespa (market leader overall, >5% in 2024), Kymco,

Peugeot. Top five (BMW, Piaggio, Honda, Yamaha, KTM) $\approx$ 21% in 2024.

France as the canary (Jan–Sep 2025 shares): Honda 22.58% (31,677 units), Yamaha 16.02%, BMW 10.4%, Kawasaki 7.91%, Triumph 6.12%, then CFMoto 3.38% (4,741) — ahead of Suzuki (2.81%), Ducati (2.26%) and KTM (2.12%). VOGÉ 2.17%, QJMotor 0.86%, Benelli 0.63%.

The Chinese wave is the single most important competitive fact for this thesis. VOGÉ (Loncin's premium brand) held nearly 4.5% across the five markets in 2025 and ranked 4th in Spain ($\sim$ 7%). CFMoto — which built engineering credibility via its KTM engine-licensing partnership — is now outselling Ducati and KTM in France. QJMotor (owner of Benelli) is rolling out its own brand with 20+ dealers signed. Chinese OEMs are executing the exact “good product, aggressive price, credible spec, fast dealer sign-up” playbook the Indians intend to run — and are 3–5 years ahead. This compresses the white space Indian brands are targeting.

3. Framework for new-OEM success in Europe — the true barriers

Ranked by how binding they are:

1. **Brand and residual value (highest barrier).** European buyers pay for badge and expected resale. A no-name brand suffers weak residuals, which raises effective cost-of-ownership and kills PCP/financing math (most European sales are financed). This is the moat that cost advantage cannot cross quickly.
2. **Dealer network density and after-sales/parts.** Riders will not buy what they cannot service within a reasonable radius. Building this organically takes a decade; hence every Indian OEM is using distributors (Hero–KSR/Pelpi/MotoGB) or acquired networks (KTM, Norton).
3. **Homologation (Euro5+, ABS, OBD, UNECE).** A cost and time gate, not a moat — clearable, as Hero/TVS/RE have shown. Euro5+ (durability, OBD) is the current bar; a Euro6-equivalent tightening is the forward risk.
4. **Financing, marketing, community.** Table stakes for scale; RE's ownership community and “modern classic” positioning is the gold standard here.
5. **Pricing/positioning.** Indians win on price in A2/mid-size but must avoid the “cheap = disposable” trap the Chinese are partly falling into.

4. Each Indian OEM's positioning

Royal Enfield / Eicher (EIM IN) — the leader. Strengths: authentic 100+ year heritage, a genuinely defensible “modern classic” mid-size (350/450/650) niche where it is the global leader, $\sim$ 24–26% consolidated margins, $\sim$ ₹3,288 crore international revenue (FY26), and a

~250-dealer European footprint (approx.; ~50 across each of the UK, Germany, France, Italy, Spain). Weaknesses: Europe is its softest region (France registrations fell in CY2025); no big-bike (>750cc) or premium-tech credibility; EV unproven. Probability of *meaningful and profitable* European presence: **high** (it already is, at niche scale). Probability of *large* European volume: moderate.

Bajaj Auto (BJAUT IN) — the acquirer. Strengths: now controls KTM/Husqvarna/GASGAS (Europe's #1 by volume), the Triumph 400 manufacturing partnership (50,000 units across 50 countries in year one; Triumph global 145,000 in 2025 with 400cc = 45% of mix), and is the strongest Indian OEM internationally (31% of ~3m 2025 volumes are exports). Weaknesses: KTM is distressed and loss-making; integration/restructuring risk is high; own-brand Bajaj (Pulsar/Dominar) lacks product for "sophisticated" European buyers. Probability of success is **bimodal**: high if the KTM turnaround (India-shifted production, >30% EBITDA-margin model) works; materially negative EPS risk if it does not.

TVS Motor (TVSL IN) — the heritage bet. Strengths: 35% of revenue already ex-India, Norton (British heritage, acquired 2020), £200m invested, EGO/e-bike and iQube EV assets, four global centres of excellence (India, Indonesia, Bologna, UK), and serious talent hires (ex-JLR, incl. Nick Rogers). Weaknesses: Norton targets the >1,000cc segment (41% of 2025 volume but the hardest to crack — TVS is "a newbie" there per analysts); execution is unproven; the RTX 300/Apache range faces the Chinese in the mid-tier. Probability of success: **moderate, back-ended** — a 3–5 year proof cycle.

Hero MotoCorp (HMCL IN) — the earliest-stage, capital-light entrant. Strengths: world's largest 2W maker by volume, strong balance sheet (FY26 revenue ₹46,830 crore, PAT ₹5,268 crore, 14.7% EBITDA margin), Munich R&D (Hero Tech Centre Germany), capital-light distributor model (KSR, Pelpi, MotoGB, GD France, Grupo Onex), and Harley-derived Hunk 440. Weaknesses: near-zero European brand equity, entry-level-only range (XPulse 200/Hunk 440), Harley/Zero/Euromobility partnerships that have not scaled, and a VIDA EV European entry repeatedly signalled but slow. Probability of *meaningful and profitable* Europe within 10 years: **low-to-moderate** — this is a long, optionality-driven bet, not a base-case earnings driver.

5. Royal Enfield deep dive — replicable?

RE's international model rests on three legs: (i) a *category-of-one* "modern classic" mid-size positioning at accessible price points (Interceptor/Continental GT 650 launched globally below premium-twin pricing); RideApart (ii) authentic heritage that manufactures brand without decades of marketing spend; and (iii) patient dealer build-out (1,212 international stores across 80 countries; ~250 in Europe). FY25 exports were 100,136 units (+29.7%, ~10.6% of sales); H1 FY26 international jumped 49% to 78,548; FY26 international hit 131,316. The 125th-anniversary EICMA 2025 showcase (Bullet 650, Classic 650) and the

Europe-first launch of the Flying Flea C6 EV (launched April 2026, with the S6 scrambler to follow late 2026) show a brand investing to defend and extend. Management has confirmed the C6 launches in Europe first, mirroring the Interceptor 650 playbook, with a 5–6-country initial rollout.

What is defensible vs. not. Defensible: the heritage and the mid-size “modern classic” white space — this is genuinely hard to copy (Bajaj’s own Pulsar/Dominar cannot; only an *acquired* heritage brand can). Not defensible by imitation: Hero and Bajaj cannot manufacture RE’s authenticity organically. **This is precisely why the rational Indian strategy is acquisition** — Bajaj bought KTM, TVS bought Norton. RE’s model is replicable only by *buying a heritage brand*, not by badging Indian commuters as European aspirational products.

6. Hero MotoCorp Germany/Europe strategy (latest calls)

Hero’s Q2 FY26 call (14 Nov 2025) and FY26 results frame Europe as part of a “premiumisation + globalisation” narrative rather than a near-term earnings driver. CEO Harshavardhan Chitale describes a market-by-market, needs-based rollout: Italy (Oct 2025, Pelpi International), Spain (Grupo Onex), France (GD France), UK (spring 2026, MotoGB, grown to ~36 outlets), Germany (July 2026, KSR Group, ~28→30 outlets). Product: XPulse 200 4V (€2,990) / Pro (€3,290) and the Hunk 440 (€3,990 Italy; £3,499 UK), with an XPulse 421 on a new liquid-cooled platform slated for an EICMA 2026 reveal and 2027 launch, plus a Dakar-inspired variant. A five-year warranty (three-year standard + two-year promotional) is the trust-building lever. **Reading between the lines:** this is deliberately capital-light and optionality-seeking — Hero is buying learning and distribution presence cheaply, not committing balance sheet. The stated “100 countries” goal and even a mooted MotoGP ambition are brand-building signals; none of this is sized to move HMCL EPS within the forecast horizon.

7. Latest Europe commentary across the four (FY26)

- **Eicher/RE:** Focus remains “middleweight 250–750cc”; international is the fastest-growing leg (H1 FY26 +49%), but the fastest-growing *market* is Brazil (+71% in FY26), Latin America and Nepal — **not** Europe, which management concedes is a “shrinking EU market” where RE is “maintaining share.” Signal: Europe is a defend-and-optimize region, with growth capital pointed at the Americas and SAARC. US is only ~3% of RE’s total.
- **Bajaj:** All commentary is now about the KTM restructuring, India-shifting production, and refinancing (a €550m consortium loan replacing Bajaj’s €450m May-2025 bridge). Rajiv Bajaj’s “European manufacturing is dead” [New Atlas](#) and the Triumph comparison telegraph the strategy: use European brands, Indian factories. Signal: capital allocation

to Europe is enormous but defensive/turnaround, not organic-growth.

- **TVS:** Norton launch (Q3 FY26 / summer 2026), £200m, 20,000-unit and 200-retail-point targets; “we are here for the long term.” Signal: genuine multi-year commitment but pre-revenue in Europe.
- **Hero:** Europe framed under global/premium growth; no hard European volume or margin guidance. Signal: low commitment intensity, high optionality.

8. Competitive comparison — sustainable advantages vs. structural disadvantages

Indian advantages: (1) frugal engineering and the lowest-cost credible mid-size manufacturing base globally (>30% EBITDA on India-made bikes per Bajaj); New Atlas (2) genuine mid-size (250–500cc) product expertise aligned to A2 demand; (3) scale and balance-sheet firepower to fund acquisitions and patient build-out; (4) an FTA tailwind lowering EU landed costs.

Structural disadvantages: (1) brand and premium perception — the binding constraint; (2) weak residual values undermining financed sales; (3) thin dealer/after-sales networks; (4) little big-bike (>750cc) engineering or premium electronics/rider-aid credibility; (5) EV technology behind the leading edge. Net: Indians win the *cost and mid-size product* battle but are structurally disadvantaged on *brand, distribution and premium tech* — which is why the winning moves are acquisitions (KTM, Norton) that import brand and distribution while exporting India’s cost base.

9. Historical precedents

- **Honda/Japan into Europe (1960s–70s):** Honda built its first European plant in Belgium in 1962 (knock-down assembly), navigated import bans (Spain via Serveta), localised parts, and the CB750 redefined the big-bike segment. Lesson: patient local production + a category-defining product + relentless dealer build. The Japanese took ~15 years to dominate. Indian OEMs should expect a similar decade-plus timeline.
- **British collapse (BSA/Triumph), BCG’s 1975 report:** incumbents lost on cost and cadence, not just product. Lesson: complacent premium incumbents (today’s KTM, arguably) are vulnerable — which is exactly the gap Bajaj and the Chinese are exploiting.
- **Hyundai/Kia in European cars:** decades of patient quality improvement, long warranties (Hero is copying the 5-year warranty tactic) and design investment turned a value brand into a mainstream one. Lesson: it works, but it is a 20-year project.
- **Chinese EVs/motorcycles (BYD, MG/SAIC; CFMoto, VOGÉ):** the live case study. Rapid share gains via spec-per-euro and fast dealer sign-up — but facing brand-trust ceilings

and (for cars) EU tariff friction. Lesson for Indians: the Chinese have already occupied the "cheap-but-credible" niche; Indian brands must differentiate on authenticity/heritage (RE, Norton) or ride an acquired brand (KTM), not merely undercut.

10. Investment framework — what to monitor

Milestones/KPIs, by priority:

1. **Units and share by country** (ACEM/national registries) — the hard scoreboard. Watch A2/mid-size segment share specifically.
2. **Dealer count and service coverage** per country — leading indicator of durable demand.
3. **ASP and contribution/segment margin** on European volume — is it accretive or a vanity export?
4. **Residual-value indices and financing penetration** — the real test of brand acceptance.
5. **Homologation approvals** (Euro5+ → future Euro6-equivalent) and EV type-approvals.
6. **KTM turnaround metrics for Bajaj**: KTM unit volumes (recovery from ~120k), Austria vs. India production mix, KTM EBITDA breakeven date.
7. **Norton for TVS**: delivery against 20,000-unit / 200-retail targets.
8. **FTA implementation timeline** and realised duty reduction.

11. Base / bull / bear cases (all scenario EPS impacts are ESTIMATES with stated assumptions)

Royal Enfield / Eicher (EIM IN)

- *Base*: Europe stays a ~single-digit-% share of volume, defended not grown; international overall (Americas/SAARC-led) compounds high-single/low-double digits. Europe is margin-accretive but not a needle-mover; consolidated ~24–26% margins hold. EPS impact from *Europe specifically*: low single-digit % over 5 years.
- *Bull*: Flying Flea C6/S6 crack urban Europe as a genuine EV-heritage play and 650/750 platform expands the mid-size base; Europe adds a few points to group growth. EPS upside: mid-single-digit %.
- *Bear*: EU keeps shrinking, Chinese mid-size competition intensifies, EV launch disappoints; Europe stagnates. Negligible-to-slightly-negative mix effect.

Bajaj Auto (BJAUT IN) — the highest-variance name.

- *Base*: KTM stabilises over 2–3 years via India-shifted production, returns to ~150–200k units and modest profitability; Triumph 400 platform keeps compounding. Net neutral-to-modestly-positive to EPS by FY28–29 after absorbing restructuring.
- *Bull*: Full “Triumph playbook” — KTM back to 300k+ units at India-cost economics, >30% EBITDA on the India-made range; Bajaj becomes a genuine global premium platform owner. Double-digit % EPS accretion medium-term.
- *Bear*: KTM turnaround stalls, further cash injections, European labour/political friction, brand erosion; the ~€800m+ becomes a value trap. High-single to low-double-digit % EPS drag and multiple de-rating.

TVS Motor (TVSL IN)

- *Base*: Norton launches on time but ramps slowly toward 20,000 units over several years; small drag then small contribution; own-brand mid-tier holds modest European share. Broadly EPS-neutral near-term.
- *Bull*: Norton re-establishes as a credible premium British marque; TVS becomes a two-brand European player. Mid-single-digit % EPS upside long-term.
- *Bear*: >1,000cc segment proves impenetrable; £200m+ underearns; Norton stays sub-scale. Low-single-digit % EPS drag.

Hero MotoCorp (HMCL IN)

- *Base*: Europe remains a learning exercise — a few thousand units across five markets, immaterial to EPS; optionality retained cheaply. EPS impact ≈ 0 over 5 years.
- *Bull*: XPulse 421/Dakar range + VIDA EV find an A2/urban niche; Europe becomes a credible 1–2% share story in adventure entry-level by early 2030s. Low-single-digit % EPS upside.
- *Bear*: Distributor model stalls, brand fails to register, spend written off. Immaterial financial loss but strategic opportunity cost.

12. Additional dimensions

- **India–EU FTA (concluded 27 Jan 2026)**: headline auto coverage is about India cutting car duties “from 110% to as low as 10%” on a 250,000-unit quota; the *reciprocal* benefit for Indian exporters is the EU liberalising 99.5% of its tariff lines over seven years (European Commission, with estimated EU-exporter savings “up to €4bn per year”), which should phase out the EU’s 6–8% MFN motorcycle duty (CN 8711) on Indian-made bikes. Net effect: a ~6–8% landed-cost improvement, phased, plus cheaper access to European components (suspension, brakes, electronics) for India-built premium bikes. Not transformational alone; helpful at the margin and strategically de-risking. Entry into

force is expected around FY2027–28 after ratification.

- **Currency:** the rupee depreciated ~19% vs. the euro in 2025 — a tailwind for Indian exporters' euro-denominated pricing/margins, but a reminder that FX can swamp tariff effects in either direction.
- **EV vs. ICE:** EV is the cleanest leapfrog vector because it neutralises incumbents' ICE-heritage advantage; RE's Europe-first Flying Flea and Hero's VIDA are the ones to watch, but EU EV two-wheeler volumes remain small.
- **Contract manufacturing vs. own-brand vs. acquisition:** the evidence strongly favours *acquisition of European brands* (Bajaj–KTM, TVS–Norton) and *manufacturing partnerships* (Bajaj–Triumph) over organic own-brand entry (Hero). The Triumph 400 model — British brand, Indian factory, global distribution — is the single most instructive template in the sector.
- **CO2/emissions trajectory:** Euro5+ is the current gate; a tightening toward Euro6-equivalent and expanding urban low-emission zones will keep favouring newer, cleaner (and eventually electric) product — a modest structural advantage for new entrants with clean-sheet ranges.

Recommendations

For investors positioning around this theme (staged):

1. **Own the acquirers/owners of brand, not the organic entrants, for Europe exposure.** *Eicher (EIM IN)* is the quality-compounder with a proven, profitable (if now-cyclically-soft) European niche — own it for the global mid-size franchise, treating Europe as defended optionality, not the growth engine. *Bajaj (BJAUT IN)* is the high-variance turnaround call — appropriate only for investors who can underwrite the KTM restructuring; size it as a special-situation, not a core holding.
2. **Treat Hero's Europe push as free optionality, not an investment case.** Do not pay up for HMCL on European hopes; underwrite it on India premiumisation/EV and the Ather stake, with Europe as a call option worth ~0 in the base case.
3. **For TVS, wait for Norton proof-points.** Re-rate only on hard delivery against the 20,000-unit / 200-retail targets and evidence the >1,000cc segment is yielding.

Benchmarks/thresholds that would change the view:

- *Turn more bullish on Bajaj* if KTM unit volumes recover toward 200k+ and management confirms a credible EBITDA-breakeven date with India production mix rising.
- *Turn more bullish on RE-Europe* if Flying Flea achieves >5,000 European units in year

one and the 650/750 platform reverses the European registration decline.

- *Turn more constructive on Hero* only if it posts >1% share in any A2/adventure segment in a major market and shows contribution-positive European economics.
- *Turn cautious across the board* if Chinese brands (CFMoto/VOGE/QJMotor) accelerate into the mid-size A2 band faster than the Indians can establish dealers — the clearest competitive red flag.

Caveats

- **Actuals vs. estimates:** ACEM registration figures, company fiscal results (Eicher, Hero, Bajaj), the KTM transaction terms and Hero's product prices are actuals. Market-size values (~USD 22bn→31bn), 2034 CAGRs, all scenario EPS impacts, and forward volumes are estimates/scenarios, labelled as such.
- **Data gaps:** Royal Enfield does not disclose Europe-specific unit sales or an international-vs-domestic margin split; the ~250 European dealer count is ageing management commentary, not an audited figure. Country registration data (calendar year) and company sales (fiscal year, wholesale) are not directly comparable.
- **Distortions:** 2024 European volumes were inflated by Euro5+ pre-buying; 2025 declines (esp. France, where RE registrations fell ~29% YoY) are partly mechanical, not pure demand loss.
- **Third-party market-research house figures** (segment sizes, some share numbers) vary by methodology and should be treated as directional. Statista's ~USD 20–23m European RE revenue figure appears implausibly narrow-scoped and is disregarded here.
- **Forward regulatory/political risk:** FTA ratification timing, a Euro6-equivalent tightening, and European labour/political sensitivity around KTM's restructuring are all unresolved.